FRONTIER TRUST

THE $100 MILLION AI TRUST-INFRASTRUCTURE ALLOCATION DECISION

Decision: Do not commit capital at the illustrative entry prices. Advance Vanta as the priority diligence candidate, but insist on price discipline and financial disclosure before an investment proposal. Keep Chainguard on a separate technical and financing diligence track.

Investment screen | Five-year primary-equity return model

Metric	Vanta	Chainguard
Public 2026 ARR anchor	$300M+ (company, Apr 2026)	$100M (Sacra estimate, Jun 2026)
Last disclosed valuation	$4.15B (Jul 2025)	$3.50B (Apr 2025)
Illustrative entry pre-money	$5.00B	$4.00B
2031 ARR, model base case	$1.106B	$755M
Base exit EV / ARR	8.0x	9.0x
Gross primary MOIC	1.47x	1.29x
5-year gross primary IRR	8.1%	5.2%
Maximum pre-money at 20% gross IRR	$2.92B	$2.02B
Discount required vs model entry	41.6%	49.5%

Why this belongs in a growth-equity investment discussion

- **Growth is not the same as an attractive security.** Vanta is growing from a company-disclosed $300M ARR base. Chainguard is expanding in a highly relevant security layer, but its latest 2026 ARR figure is an outside estimate. Neither clears the model's illustrative hurdle at the assumed price. [S02, S08]
- **Execution matters.** The Vanta base case reaches approximately $73M of modeled 2031 free cash flow (6.9% of revenue proxy); Chainguard remains approximately $69M FCF negative in 2031 under the selected cost assumptions. These are modeled, not company-guided.
- **Price must reflect uncertain claims.** Chainguard disclosed $280M in growth financing in October 2025. The public announcement does not supply the instrument terms, amount outstanding, or priority relative to equity. [S09]

Important: The 20% return threshold, entry price, margins, growth and exit valuation are analyst assumptions. TVG has not stated this hurdle. Public historical equity valuations are not live offers.

THE UNDERWRITING CASE

Vanta: diligence priority, not an unconditional BUY

Vanta reported passing $300M in ARR and serving 16,000 customers in April 2026. Its product breadth encompasses compliance monitoring, vendor risk, trust workflows and broader GRC. A credible case requires durable expansion into enterprise use cases, demonstrable retention, and sustainable acquisition economics. The 2025 $4.15B valuation must not be conflated with a November 2026 purchase price. [S02, S03, S05, S16]

Chainguard: technical differentiation, more demanding price and cash-flow proof

Chainguard has published evidence of large-customer use, including a Canva customer case covering containers and libraries. However, Docker made a substantial hardened-images catalog available for free in December 2025. The key question is whether Chainguard can monetize enterprise SLAs, breadth, provenance and software-library offerings at durable premiums. The disclosed $280M financing increases the need to verify the capital structure. [S10, S11, S12, S13]

Confirmatory diligence gates before investment committee

- **Data integrity:** obtain signed ARR rollforwards, cohort NRR and GRR, revenue recognition bridge, monthly bookings and forecasts; independently validate customer counts and concentration.
- **Capital structure:** reconstruct current equity ownership, fully diluted shares, option pools, senior claims, preferences, debt and all material covenants.
- **Market/customer checks:** conduct competing-vendor and buyer interviews, validate displacement rates and procurement budgets, and independently review technical differentiation.
- **Price discovery:** seek a bona fide primary term sheet or verifiable secondary indication; rerun the workbook for negotiated structure, rights and actual use of proceeds.
- **Downside:** require a management response to bear-case margin, competitive displacement, financing and exit-multiple sensitivity before any approval.

Return to committee only if all financial gates pass and the negotiated security clears the approved required return. A higher price may be defensible if verified new evidence materially improves the operating case.

Research basis and citation keys: S01 = otpp.com Teachers Venture Growth; S02 = Vanta Apr 29 2026 ARR; S03 = Vanta Jul 23 2025 financing; S05 = Forrester excerpt; S08 = Sacra Chainguard; S09 = Chainguard Oct 23 2025 financing; S10 = Canva case study; S11-S12 = Docker. All source URLs and evidence dates appear in the Excel workbook's Sources tab.

This is an independent demonstration of investment analysis using public information. It is not confidential TVG analysis, a valuation opinion, a company management forecast or an executable investment recommendation.